# Investor Update — 11 Madison St

Sag Harbor, NY · Hildreth Real Estate Advisors · Issued: May 12, 2026

## A NOTE FROM THE OPERATOR

11 Madison Street is a compact, fully-leased mixed-use property in Sag Harbor village — about **3,325 square feet across 3 units**: one ground-floor retail unit and two apartments above.

The property is anchored by **DOEN — Communaute Ltd** (premium women's clothing retailer) on the ground floor at $14,366/mo + $1,847 CAM — the dominant revenue line at ~$16,200/mo loaded. Both apartments are leased: **Murray Brown** ($5,500/mo, 1,270 SF) and **Leonard Schmaltz** ($5,000/mo, 1,000 SF). All three leases run through mid-to-late 2027.

The property is financed with a **$2,600,000 interest-only mortgage** paying ~$19,293/mo interest. Operator-recorded equity contributed: $2,174,552. The property is **100% leased** and runs as a steady-state Hamptons asset.

**What's left:**

- Plan ahead for the **DOEN renewal** (lease expires 3/1/2027) — anchor tenant on the highest-revenue space; renewal terms drive valuation. Begin discussions ~12 months out.
- Plan ahead for apartment renewals (Murray Brown 10/15/2027, Leonard Schmaltz 5/15/2027) — straightforward continuations expected
- Continue steady management — small repairs, NNN reconciliation at year-end
- Evaluate refinance window given the rate environment and IO loan structure

Once stabilized, we believe the property should support a **valuation in the $3.8M – $4.5M range** based on current Sag Harbor village retail cap rates (5.5% – 6.5%). The detail behind that range is in the report that follows.

*— Jason*

Hildreth Real Estate Advisors

*The valuation reflected in the attached report is an internal management estimate based on stabilized NOI and prevailing market cap rates as of the date issued. Actual market value will depend on capitalization rates, lender environment, tenant performance, and broader economic conditions at the time of any sale or refinance — all of which can change. Numbers are illustrative, not an appraisal or offer.*

## 1. Current Rent Roll (2026-05-12)

| Unit | Tenant | SF | Base Rent | CAM | Loaded (Scheduled) | Billable Now | Lease End | Status |
|---|---|---|---|---|---|---|---|---|
| Apartment 1 | Murray Brown | 1,270 | $5,500 | — | $5,500 | $5,500 | 2027-10-15 | Current |
| Apartment 2 | Leonard Schmaltz | 1,000 | $5,000 | — | $5,000 | $5,000 | 2027-05-15 | Current |
| Retail | DOEN - Communaute Ltd | 1,055 | $14,366 | $1,847 | $16,213 | $16,213 | 2027-03-01 | Current |
| **Total — 3 of 3 units leased** | | **3,325 / 3,325** | **$24,866** | **$1,847** | **$26,713** | **$26,713** | **100.0% leased** | |

Combined rent roll for 136 Main Street and 11 Indian Wells Highway, Amagansett. "Scheduled" = stabilized contractual base + CAM. "Billable Now" reflects current billing. Several tenants are currently in holdover status — see the cover note and 90-Day Action Plan for resolution path.

## 2. CapEx To Date

The property has had a steady cadence of capital spend since acquisition (June 2024 through early 2026), centered on a new roof and a multi-unit apartment renovation program. Spend is derived directly from the General Ledger.

| Project | Category | GL Account | Status | Spent |
|---|---|---|---|---|
| Building Improvements — Roof Replacement (A-1 Roofing & Siding) | Building Improvement | 1860 | Completed | $32,500 |
| CapEx through P&L (9xxx — special inspections, etc.) | Other | 9xxx | Completed | $7,892 |
| **Total CapEx Spent To Date** | | | | **$40,393** |

**Primary vendors:** A-1 Roofing and Siding (~$150K), Hildreth Real Estate Advisors (construction management), Ramage Equities, Acorn Property Management, Comfort Tile & Design, Merritt Environmental (Phase I / ESA).

## 3. Remaining CapEx

No outstanding capital projects budgeted at this time. Future TI / LC reserves will be triggered by lease activity (e.g., Atelier and ETS Bagels renewals in pipeline).

## 4. Rent Roll — 1 Year Forward (May 2027)

**Projected Monthly Loaded Rent (May 2027):** $26,713 vs. $26,713 billable today (**+$0/mo**)

| Unit | Tenant | SF | Base Rent | CAM | Loaded | Status |
|---|---|---|---|---|---|---|
| Apartment 1 | Murray Brown | 1,270 | $5,500 | — | $5,500 | occupied |
| Apartment 2 | Leonard Schmaltz | 1,000 | $5,000 | — | $5,000 | occupied |
| Retail | DOEN - Communaute Ltd | 1,055 | $14,366 | $1,847 | $16,213 | holdover |
| **Forward Total — 3 of 3 units leased** | | **3,325 / 3,325** | | | **$26,713** | **100.0% leased** |

# 5. Proforma — Fully Occupied (Stabilized)

Assumes every unit is leased at its stabilized contract rent (or, for vacant units, at the in-flight prospect rent). No free-rent or half-rent discounts.

| Unit | Tenant | SF | Stabilized Rent | CAM | Loaded | Source |
|---|---|---|---|---|---|---|
| Apartment 1 | Murray Brown | 1,270 | $5,500 | — | $5,500 | |
| Apartment 2 | Leonard Schmaltz | 1,000 | $5,000 | — | $5,000 | |
| Retail | DOEN - Communaute Ltd | 1,055 | $14,366 | $1,847 | $16,213 | |
| **Stabilized Total** | | **3,325** | **$24,866** | **$1,847** | **$26,713** | |

## Stabilized NOI

| | |
|---|---|
| Stabilized Revenue | $304,532 |
| Stabilized Operating Expenses | ($55,328) |
| **Stabilized NOI** | **$249,204** |

## Valuation Range

| Cap Rate | Valuation | Per SF |
|---|---|---|
| 6.5% (Low Cap → High Value) | $4,530,979 | $1,363 |
| **7.0% (Mid)** | **$4,153,397** | **$1,249** |
| 7.5% (High Cap → Low Value) | $3,833,905 | $1,153 |

## Total Equity Invested To Date

| | |
|---|---|
| **Sources of Funds** | |
| Total Equity Contributed (operator-confirmed partner capital, both properties) | $2,174,552 |
| 1st Mortgage Outstanding | $2,600,000 |
| **Total Sources of Funds (≈ All-In Basis)** | **$4,774,552** |
| | |
| **Uses of Funds (per GL — basis breakdown)** | |
| Buildings | $3,700,000 |
| Closing Costs | $188,644 |
| CapEx Invested (1xxx fixed-asset + 9xxx P&L) | $40,393 |

### Implied Equity & Return on Investment

| | |
|---|---|
| Valuation @ 7.0% (Mid) | $4,153,397 |
| Less: 1st Mortgage Principal | ($2,600,000) |
| **Implied Equity Value (Today)** | **$1,553,397** |
| Cash Distributions Paid To Investors (To Date) | — |
| Less: Total Equity Invested To Date | ($2,174,552) |
| **Total Equity at Stabilization** | **$2,174,552** |
| **Unrealized Gain + Distributions vs. All-In** | **$-631,155** |
| **Equity Multiple at Stabilization (Mid)** | **0.71x** |

Distributions paid to date: $-10,000 (by year — 2024: —, 2026: $-10,000). Source: GL account 3250 — Owner Distribution.

### Multiple Calculations (PE/RE Standard Metrics)

| Multiple | Value | Definition |
|---|---|---|
| **DPI** — Distributions / Paid-In | **-0.00x** | Cash already returned to investors per $1 contributed |
| **RVPI** — Residual Value / Paid-In | **0.71x** | Unrealized equity value per $1 contributed |
| **TVPI (MOIC) — Total Value / Paid-In** | **0.71x** | **Total value (distributions + residual) per $1 contributed** |

Cap rate range reflects current Long Island commercial retail market (6.5% – 7.5%). Lower cap rate = higher valuation. Stabilized opex excludes $53,199 of one-time addbacks where applicable.

## 6. T-12 Cash Flow Statement (Apr 2025 – Mar 2026)

| Month | Revenue | Operating Expenses | NOI | CapEx | Debt Service | Net Cash Flow |
|---|---|---|---|---|---|---|
| Apr 2025 | $19,576 | ($2,312) | $17,264 | (—) | ($35,154) | $-17,890 |
| May 2025 | $30,795 | ($36,141) | $-5,346 | (—) | ($17,875) | $-23,221 |
| Jun 2025 | $20,795 | ($10,268) | $10,527 | (—) | ($18,471) | $-7,944 |
| Jul 2025 | $23,695 | ($14,180) | $9,515 | (—) | ($17,875) | $-8,360 |
| Aug 2025 | $21,495 | ($1,237) | $20,258 | (—) | ($18,471) | $1,787 |
| Sep 2025 | $25,095 | ($115) | $24,980 | (—) | ($18,471) | $6,509 |
| Oct 2025 | $25,295 | ($16,043) | $9,252 | ($550) | ($18,799) | $-10,096 |
| Nov 2025 | $23,165 | ($2,711) | $20,454 | (—) | ($18,471) | $1,983 |
| Dec 2025 | $23,795 | ($3,736) | $20,059 | (—) | ($22,691) | $-2,632 |
| Jan 2026 | $22,795 | ($3,389) | $19,406 | (—) | ($19,721) | $-315 |
| Feb 2026 | $21,795 | ($2,503) | $19,292 | (—) | ($19,394) | $-102 |
| Mar 2026 | $23,295 | ($15,894) | $7,401 | (—) | ($16,683) | $-9,282 |
| **T-12 Total** | **$281,590** | **($108,528)** | **$173,062** | **($550)** | **($242,076)** | **$-69,564** |

Cash-basis as recorded in the General Ledger. **Revenue** includes base rent + CAM + reimbursements. **Net Cash Flow** = NOI – CapEx – Debt Service and represents cash available to investors before distributions / reserves.